The rationale provided by the government for FAR was India's inclusion in international bond indices, which is likely to result in flow of extra debt resources. The authorities are working with prominent international bond indices like JP Morgan Emerging Market Bond Index and Bloomberg Barclays Global Aggregate Bond Index. However, inclusion in any of the bond indices is still to take place at the end of calendar year 2021.

Difference between FC Sovereign Bond Issuance and Rupee-Specified Securities

There are significant differences in the implications of FC sovereign bonds and specified securities issued under FAR (rupee-specified securities) for fiscal operations, monetary policy, foreign exchange management, interest rate in the system, and so on.

First, the issuer, the Government of India, receives debt subscriptions in different currencies. In case of US dollar-denominated sovereign bonds issued and listed abroad, it receives US dollars in its account. The government can, of course, sell the US dollars so received to RBI for rupees. In case of rupee-specified securities, the subscription to the government is in rupees. Foreign subscribers would usually bring US dollars or other foreign currencies to India to subscribe to such securities. However, they might also borrow or use other funds available in India to subscribe to such bonds in rupees.

Second, the net inflow of foreign currency desired and in which the bonds are denominated would be different in the two cases as far as the economy is concerned. In case of dollar-denominated sovereign bonds, the government would receive only dollars. In case of rupee-specified securities, the real subscriptions from foreigners/non-residents can be in dollars, other foreign currencies or even in rupees. FC sovereign bonds